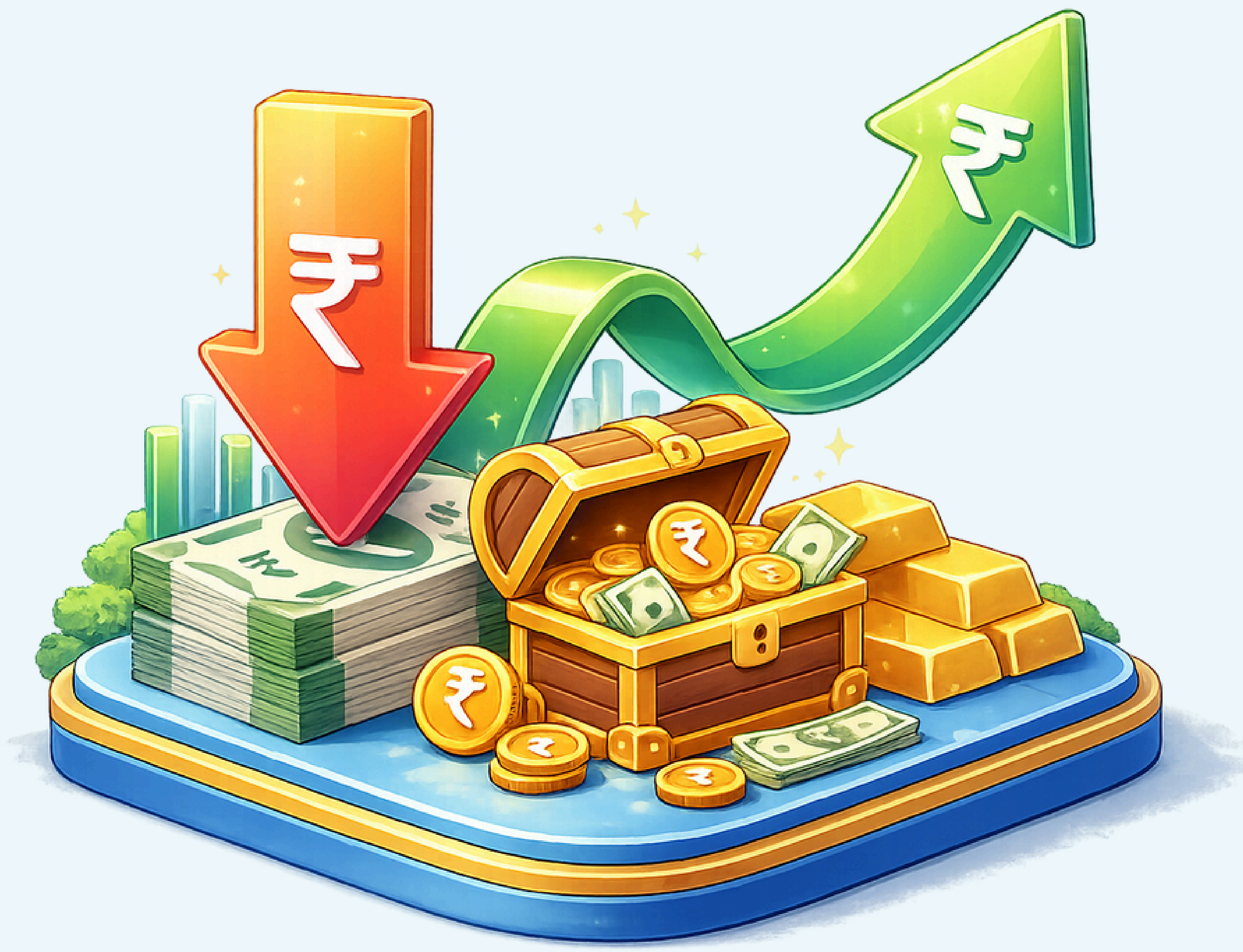
Your bonds could be sitting on unrealised gains. Bond investing is not just about coupon payments.

Sometimes, interest rate movements can create an opportunity to exit earlier too.

Read on to learn more



Interest rates and bond prices usually move in opposite directions.

When interest rates fall, older bonds with higher yields become more valuable. Their prices rise.

That's when the question of hold or sell actually matters.

Example: You bought a bond at: ₹1,00,000

Bond Price	Coupon rate	Tenure
₹1,00,000	9%	5 Years

A year later, similar new bonds are offering only 7%. Your older 9% bond becomes more attractive in the market and may now sell at a premium.

Note: We're not considering a rising interest-rate scenario here, since rising rates usually reduce bond prices and an early exit in such a case is rarely a good idea, unless you need the funds urgently.

Now that your bond's market value has increased, what should you do next?

Scenario 1: Hold till maturity

Suppose you continue holding the bond for the remaining 4 years.

You earn ₹9,000 in annual coupon payments + full principal repayment at maturity.

Holding till maturity may suit investors who:

Want a defined return structure.

Prefer regular payouts.

Don't need the principal amount immediately.

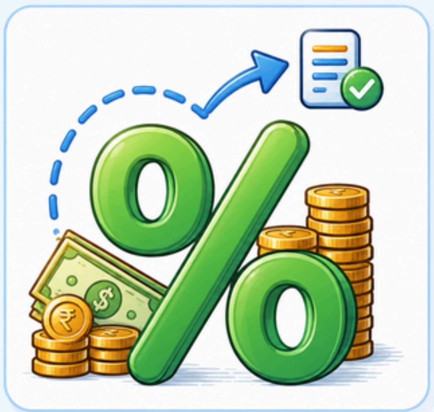
Scenario 2: Exit earlier

Now, suppose interest rates fall further.

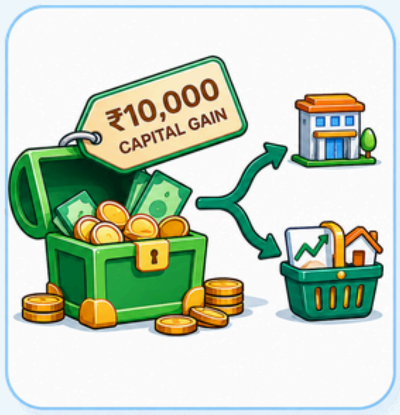
Your bond's market value rises from

₹1,00,000 → ₹1,10,000.

You now have two choices:



Continue earning 9% coupons till maturity



Or book the ₹10,000 capital gain and redeploy the proceeds elsewhere

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Selling earlier might be the better choice for you if:

Bond prices have appreciated meaningfully

The interest-rate cycle appears to be turning

Other opportunities better suited to the current rate environment have emerged

So, should you hold or exit earlier? The right choice depends on interest rates and your goals.

What would you do? Comment below!

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